

Internet/e-Commerce

Agentic AI and the promise of a more capable Internet

Industry Overview

The Agentic Era moving from concept to reality

The emergence of ChatGPT, Gemini, and Google AI Mode is changing how consumers interact with the Internet, with conversational AI increasingly becoming a primary interface for discovery and decision-making. Agentic AI will build on this evolution, advancing Internet gateway (search) capabilities from information retrieval to evaluation and automated task execution. We think of agents as an embedded productivity software tool for consumers, with the potential to significantly enhance decision quality while reducing transaction friction. Given rapidly changing user behavior and expectations, we think transaction-based verticals, such as eCommerce, Online travel, and finance, will need to build their own front-end AI chat and downstream Agentic capabilities to maintain their relevance with consumers.

Marketplaces will still offer significant consumer value

AI cannot secure differentiated supply, deliver products in one hour, or pass on network effect cost savings. As users become more accustomed to AI interactions (Google AI Mode now has 1bn users), Online travel and eCommerce marketplaces will need to focus on two areas: 1) Competitive front-end AI experiences to maintain direct traffic, and 2) Maximizing product differentiation, especially in the physical world. We think the best selection, prices, shipping speeds and customer service should be equally attractive to agents as they are to consumers. While producer pricing surpluses could be at risk long-term, vertical sites can leverage their competitive advantages in supply aggregation, fulfilment speed, customer service, and/or cost savings from network effects to drive direct agentic traffic.

New ad formats & tools to reshape digital advertising

Recently, Google I/O and Marketing Live provided an early look at several AI-related digital advertising products that either leverage AI use cases, or are designed to enable Agentic transaction capabilities. Three notable initiatives included: 1) Conversational AI ads that integrate directly within AI-generated responses, allowing advertisers to engage users in context with tailored messaging, 2) AI powered shopping ads that surface relevant products alongside AI-generated explanations to guide evaluation and decision-making, and 3) Universal shopping cart that enables users to add and purchase products directly within Google sites. By integrating real-time product data, capturing richer intent, and enabling transactions, we believe agentic systems should improve user targeting, conversion and measurement, leading to incremental user activity and spend.

Google in the pole position for the agentic era

We think Google is well positioned to lead in agentic adoption given leading foundation models, agentic time to market advantages, and deep merchant data. Google's early mover advantage could help establish ecosystem lock-in and guide behavioral defaults around agentic workflows. Moreover, Google's advertiser ecosystem could see upside from higher AI driven volumes, ad click rates and ad targeting (see page 17). Maintain Buy. OpenAI, Meta and Amazon also have large consumer audiences and deep AI capabilities to leverage, and we expect strong innovation and competition across agentic ecosystems over the next two years as these platforms focus on scaling monetization.

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3P: Third Party
AI: Artificial Intelligence
Gen-AI: Generative AI
MAU: Monthly Active Users
UI: User Interface

AI reshaping consumer behavior

The emergence of Generative AI sites and evolution of AI Search is driving a structural shift in consumer behavior, with AI-native interfaces emerging as the primary gateway for consumer traffic and reshaping how users discover, evaluate, and transact online. ChatGPT has scaled to ~900mn weekly active users and processes billions of queries daily, while Google has re-architected its core Search product around AI, with AI Overviews growing to ~2.5bn monthly users, AI Mode to 1bn monthly users and AI Mode query volumes more than doubling each quarter since launch.

We believe the growing prevalence of AI-driven interactions has the potential to drive a fundamental shift at the consumer level, with users increasingly relying on AI surfaces to synthesize information, compare alternatives, and guide decisions in real time. The entire Internet ecosystem, from information to transaction sites, will need to evolve user interfaces as consumer decision making increasingly relies on AI driven results.

Agentic AI & the next era of Internet utility

What is Agentic AI?

Agentic AI represents the next evolution of the Internet, capable of independently planning, decision-making, and executing multi-step workflows to complete user-defined goals. Unlike first-generation AI assistants that primarily generate answers, summarize information, or surface links in response to prompts, agentic systems focus on task completion. Effect Agentic AI assistants will be able to break high-level objectives into smaller steps, evaluate trade-offs based on user preferences or constraints, and interact with external tools or services to carry out actions such as purchasing products, booking travel, scheduling meetings, completing workflows, etc.

Exhibit 1: Agentic AI assistants focus on task completion

AI Assistants vs Agentic Assistants

AI Assistants	Agentic Assistants
Primarily retrieve, rank, or summarize information	Interprets intent and translates it into executable workflows
User remains decision-maker and executor	Compares options, negotiates constraints, and completes transactions
Monetization centered on impressions, clicks, and feed engagement	Can browse, fill forms, book, purchase, schedule, or subscribe
Value tied to traffic referral and discovery	Shifts value from traffic generation to outcome

Source: BofA Global Research

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Potential consumer agentic adoption timelines

The Internet is well into the adoption cycle of first-generation AI assistants, while simultaneously entering the experimentation stage for agentic systems. Over the past year, consumer AI usage growth has been driven by chat-based AI assistants that summarize information, answer questions, assist with coding, and augment search. The evolution toward fully agentic systems will be a multi-year process (we are close to year 30 of eCommerce and still only 20% US penetration) as technology improves and consumers gradually adopt to new AI capabilities.

- **First-generation AI assistants (Started in 2023):** During this phase, AI assistants became widely adopted as productivity and knowledge tools. Most usage centers on chat-based interactions. Personalization and real-world execution is limited.
- **Early agentic experimentation (started in late 2025):** Assistants begin incorporating tool use and limited execution capabilities, but supervision



remains essential. Systems can access external APIs, retrieve structured data, and complete bounded workflows such as booking reservations or drafting emails, etc.

- **Structured multi-step task execution (expected by late 2026 or early 2027):** Agentic systems mature into goal-oriented planners capable of handling multi-step workflows with reduced supervision. Agents can handle complex tasks, evaluate trade-offs, coordinate across multiple services and make purchases on behalf of users. User trust will begin to build, but transactions will likely require user approval.
- **Proactive and ambient agents (expected by 2030):** Agents operate as persistent digital operators, embedded in daily life as a decision-making and execution layer. They proactively manage tasks and continuously monitor context, learn from behavior, and act autonomously within predefined boundaries.

Agents can significantly increase Internet utility

We think of agents as an embedded productivity tool for consumers, with the promise to significantly increase Internet utility through automation and improving decision quality. While the traditional internet model requires users to search, compare, and manually complete transactions, agents will be designed to perform these functions autonomously. This transition could meaningfully improve efficiency, decision quality, and market participation across a wide range of digital activities.

- **Reduced friction and time:** Many online activities involve a series of manual steps - searching for options, opening multiple websites, comparing features or prices, and completing transaction workflows. Agents can automate these processes by interpreting user intent and executing tasks end-to-end. By compressing these workflows, agents reduce both time and cognitive load, increasing the overall productivity of internet usage.
- **Better decision quality:** Human decision-making online is constrained by time, attention, and the limited number of options users can realistically evaluate. Agents, by contrast, can process significantly larger datasets, which allows them to optimize decisions across a broader set of variables.
- **Higher level of personalization:** Agents can continuously learn from a user's preferences, behavior, and constraints. Over time, they can build a detailed profile that incorporates factors such as spending patterns, brand preferences, scheduling constraints, or quality thresholds. This enables a higher degree of personalization and strong alignment with individual user objectives.
- **Unlock participation in complex verticals:** Certain categories, such as insurance, financial products, healthcare services, etc., require substantial effort to evaluate due to fragmented information and complex decision frameworks. Agents can aggregate relevant data, compare alternatives across providers, and guide users through multi-step transaction processes. By lowering the barriers associated with navigating these markets, agents may increase participation and improve matching between consumers and services.

Considering these factors, Agentic AI penetration and potential disintermediation will vary by category.

- We think digital and services categories are structurally well suited for agentic workflows, as transactions are largely digital, product attributes are comparable, and/or decision frameworks are relatively standardized.



- We think categories such as eCommerce, ride sharing, and restaurant and grocery delivery, with significant network effects or economies of scale, will be more insulated from agentic disruption but are well suited for agentic partnerships. These verticals have entrenched network effects, and volume leaders have competitive advantages in cost and service levels. We think Generative-AI companies will need to partner with these scaled platforms to offer the most attractive options to consumers.
- We see Online travel as a “tweener” category, well suited for agentic usage given travel planning complexities, but potentially difficult to disintermediate due to supply complexities. Travel bookings can be a complex decision process, and are digital with limited fulfillment complications, which favors rapid adoption of Agentic AI usage. However, product sourcing can be difficult (long-tail inventory not commoditized), while vertical transaction sites (OTAs) have scale advantages for selection, price (supplier discounts) and customer service. We think Online Travel companies need to evolve front-end user interfaces with changing consumer preferences, partner with activity & restaurant reservation sites to offer more comprehensive itineraries, and incorporate Agentic booking and trip monitoring capabilities to maintain relevance with consumers.

Agentic AI building blocks

We believe Agentic AI will represent a transformative shift, moving the Internet from an information-driven model to an execution-driven model. However, adoption will likely depend on several structural factors including:

- **Standard protocols and integration** – Agents require deep integration with platforms, services, and payment systems, alongside the widespread adoption of common protocols and standardized interfaces to enable reliable interaction across the digital ecosystem, which will likely take time to develop and scale.
- **Reliability** – Autonomous systems must consistently deliver accurate outcomes to gain user confidence. Even small error rates in decision-making or transaction execution could impact adoption, particularly for financial or mission-critical tasks.
- **Trust** – Users must be comfortable allowing agents to make decisions or complete transactions on their behalf. For higher-value or sensitive activities, trust in the agent’s incentives, transparency, and alignment with user outcomes will be critical.
- **Regulatory** – Handling payments, personal data, and delegated decision-making authority introduces new regulatory and security considerations that may shape how agents are deployed across industries.

Expect significant agentic competition

We think several types of agentic platforms could emerge, competing to become the default interface for digital tasks and decision-making:

- **Operating system-level agents:** Agents embedded directly within device operating systems such as iOS or Android that can execute tasks across apps and services within the device environment. As they could be pre-installed and set as the default on billions of installed device base, these agents could have competitive advantages.
- **Model-layer agents:** Agents built by companies developing frontier AI models that operate across multiple applications and services through APIs and integrations rather than direct operating system control. Examples include agents from companies such as OpenAI, Anthropic, Perplexity, Google, Meta,



etc. that can coordinate tasks across different apps, websites, and services from a single interface.

- **Commerce-native agents:** Agents developed by large commerce platforms such as Amazon, Walmart, eBay, etc. that focus specifically on shopping decisions and transaction execution. These agents could leverage proprietary product catalogs, merchant networks, logistics infrastructure, and payment systems to research, recommend and complete purchases within a single platform environment. These agents will likely try to expand their functionality and reach by incorporating data and products from smaller sellers that the agents can act upon.
- **Vertical-specific agents:** Agents designed for specific industries such as travel, finance, healthcare, or enterprise productivity. These systems focus on a narrower set of use cases but may offer deeper domain expertise and integration with adjacent categories, enabling more specialized recommendations and task execution within a particular sector. For example, Booking's travel-focused agent, Penny, that from that can plan an entire trip by recommending flights, booking hotels, reserving restaurants, and organizing local transportation within a single workflow.

Digital advertising in Agentic AI era

As agentic capabilities scale, we expect a structural shift in both user search behavior and the monetization of high-intent commercial queries. Agentic systems could reshape the digital commerce journey by compressing research, evaluation, decision-making, and execution, and then either deliver summarized choices to consumers, or take action. What was previously a multi-stage user journey may increasingly occur within one coordinated agent interaction.

This shift will likely have significant implications for the digital advertising ecosystem and traditional advertising funnel. In agentic interactions, the upper and mid funnel (awareness and consideration) could be consolidated into the agent's decision engine, enabling assessment of products and trade-offs, with the lower funnel (click, landing page, and checkout) completed natively within the platform through embedded checkout and transaction capabilities.

Traditional flow: Search → Impression → Evaluation → Click → Browse → Compare → Refine Search → Impression → Evaluation → Click → Compare → Click to add to cart → Checkout

Agentic flow: Communicate Intent → Agent evaluates → Agent recommends → User approves → Transaction executed

In the traditional Web ecosystem, economic value has largely accrued to platforms that generate and distribute traffic, and to transaction sites that have highest conversion rates of that traffic. In an agentic model, however, agents may retrieve product data directly through APIs, structured databases, or merchant integrations, reducing the need for users to visit multiple traditional websites during the decision-making process. As a result, economic value could shift toward platforms that control the decision engine itself. Transaction based sites that have proprietary user information, inventory or customer service capabilities will need to carefully negotiate terms with agentic sites to ensure they maintain favorable economics and consumer brand position in agentic transactions.

Agentic transformation being driven by Google

At Google I/O 2026 and Marketing Live, Google introduced a range of transformative features and new capabilities within Search to drive more agentic experiences and commerce. Key announcements included:

Agentic ads and Native checkout within AI Search

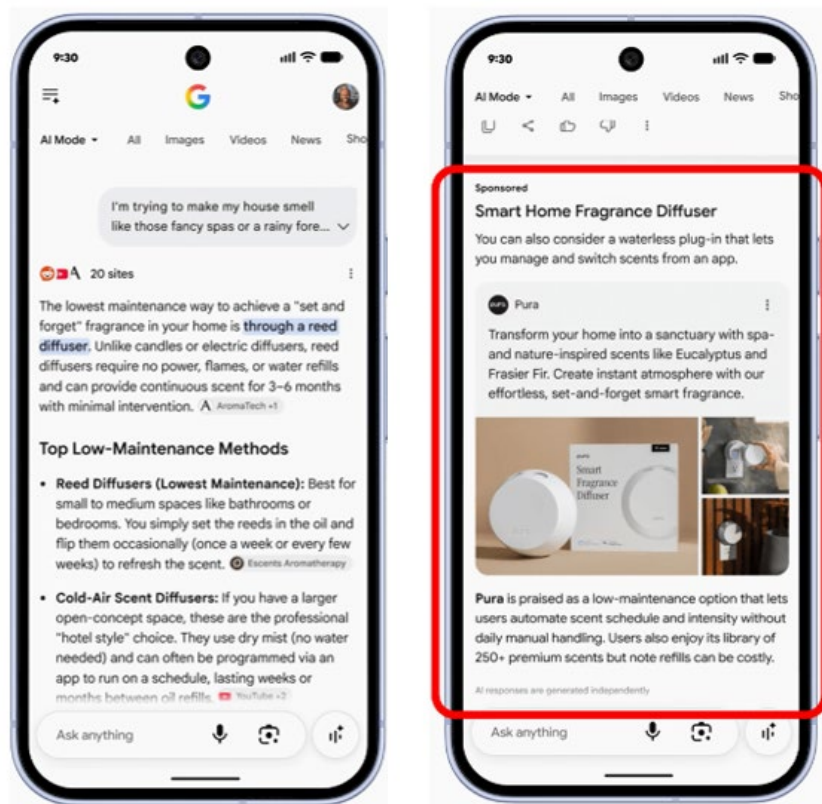
Google introduced new agentic advertising capabilities and ad formats designed to make ads more interactive. The company launched Business Agent for Leads, which allows users to engage directly with advertiser agents through AI-driven prompts and pre-filled lead workflows. New ad formats built specifically for AI Mode included conversational AI answer ads, Direct Offers, AI-powered Shopping Ads, and retailer-connected commerce ads that link users directly to merchants with available inventory. Google also introduced native checkout inside AI search ads, allowing purchases through Google Pay without leaving the page. The company also plans to expand these features to YouTube with shoppable ads supporting embedded “Buy Now” flows powered by UCP and Google Pay.

New AI Search focused ad formats:

- **Conversational Discovery ads:** Conversational Discovery ads appear within AI-generated Search responses in AI Mode, directly embedded in the conversational answer flow, making the ad feel like part of the answer rather than a separate placement. They include an AI-generated explainer that synthesizes relevant product or service information alongside the advertiser’s messaging, helping provide context and guide decision-making, making the ad feel like part of the answer rather than a separate placement.

Exhibit 2: Conversational Discovery ads make the ad feel like part of the AI answer

Google Conversational Discovery ads



Source: Google Website

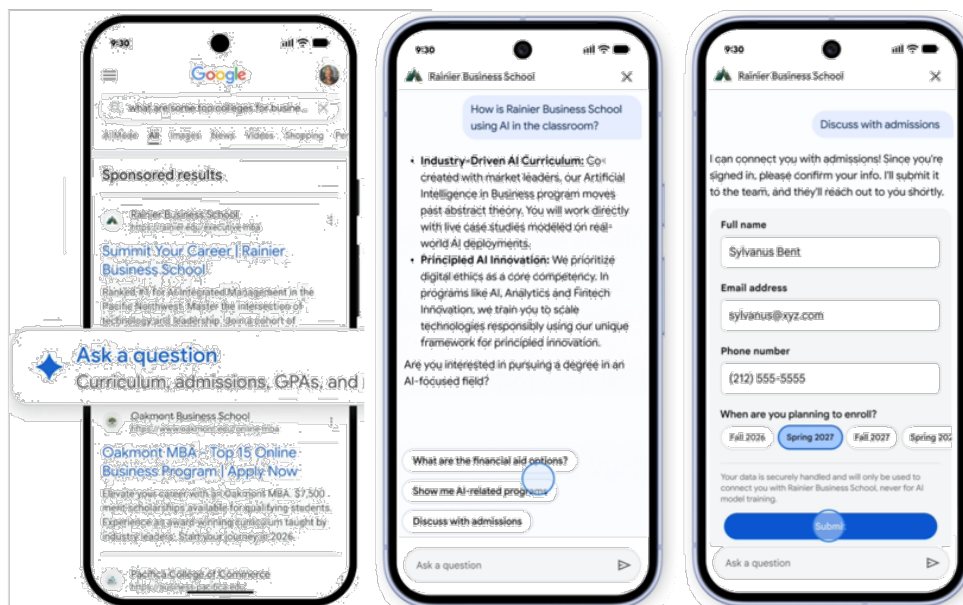
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- **AI-powered Shopping ads:** These ads surface relevant products and automatically generate short explanations on why a product fits a user’s needs.

They are designed to simplify decision-making, especially for higher-consideration purchases, within the Search experience itself.

- **Direct Offers:** These are AI-driven promotions that surface personalized deals, such as discounts or bundles, directly within Search. They also integrate features like native checkout to reduce friction and help users complete purchases more seamlessly.
- **Business Agent for Leads:** This format embeds an AI-powered chat agent within an ad, allowing users to ask questions and interact directly with a brand. It replaces static lead forms with a more dynamic, conversational way to drive engagement and capture intent.

Exhibit 3: Business Agent for Leads embeds an AI-powered chat agent within an ad, allowing users to ask questions and interact directly with a brand
Business Agent for Leads



Source: Google Website

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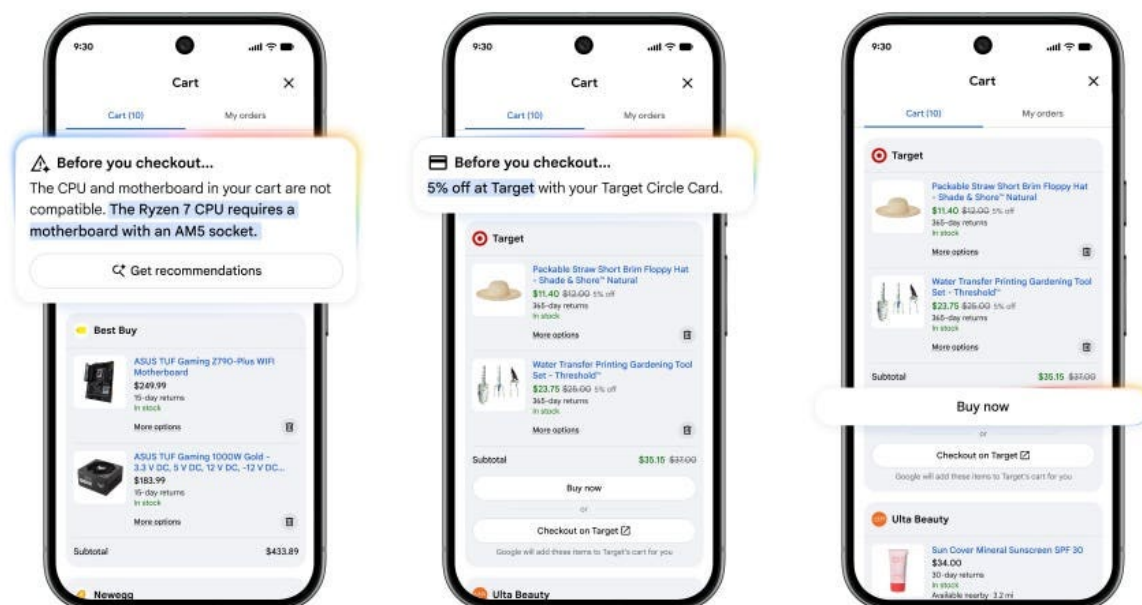
Universal Cart for purchases/bookings on Google

Google launched Universal Cart, a persistent cross-merchant shopping cart that enables users to save, track, and manage products across participating retailers and Google surfaces. The cart will allow users to make purchases within the cart for participating retailers (including Target and Walmart, but not Amazon so far) or send users directly to retail sites to check out (which could be a potential option for Amazon). Google also hinted that food delivery and hotel booking capabilities were on the horizon.

Universal Cart works as the front-end layer of Google's agentic commerce stack. As users add items across Google surfaces, UCP acts as the orchestration layer, enabling seamless interaction between Google and multiple merchants by standardizing product data, supporting real-time inventory and pricing checks, and facilitating a unified cart and checkout experience across retailers. When a user proceeds to purchase, AP2 serves as the payments layer, allowing AI agents to execute transactions securely on the user's behalf by verifying authorization, intent, and accountability. Together, UCP powers the commerce workflow, AP2 ensures trusted payment execution, and Universal Cart integrates both into a single, continuous shopping experience.

Exhibit 4: Google's Universal Cart enables an agentic checkout experience across participating retailers and Google surfaces

Google Universal Cart



Source: www.forbes.com

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Persistent Search Agents

Google introduced Search Agents, persistent background AI agents that continuously monitor information across categories including finance, shopping, travel, and sports on behalf of users. For shopping related use cases, these agents can continuously monitor the market on the user's behalf. They track product availability, price movements, and new product launches, and surface relevant purchase opportunities tailored to user-defined preferences without requiring repeated searches. Operating in the background, they synthesize information across sources and proactively deliver updates, eliminating the need for manual comparison and monitoring. Beyond discovery, search agents can also initiate and execute actions, including verifying inventory, facilitating checkout, or coordinating related services such as bookings.

Monetization in Agentic Era

We think potential monetization models in agentic ecosystems could include:

Product placement: Agents may only show a few recommended options. Brands will likely pay to be included as an option (sponsored prompts) or to appear higher in the ranking if multiple options are shown. Ad auction dynamics will shift to higher bids for limited, high-intent slots. For example: When a user asks the agent: "What's the best laptop for work under \$1,500?" PC brands will likely pay a high premium to be included as one of a small group of recommended products or have a sidebar ad that lists dynamic product features that are best suited for the query. Advertisers will bid (CPC) to be included as an option, but will not pay a revenue share when a agent completes a transaction.

Sponsored actions (Outcome-based model): A hybrid model combining elements of advertising and commissions, where a brand appears as a sponsored option but only pays when the agent actually executes the task. In this structure, pricing is tied to the



completion of the action, rather than simply to visibility or recommendation placement. Instead of paying solely to appear in a list of recommendations, brands bid for the “action slot”. Payment occurs only if the action is completed, aligning incentives between the platform and the brand by linking monetization directly to successful outcomes. For example, a user asks the agent: “Book me a 4-star hotel in Miami for under \$300.” The agent evaluates available hotels and presents a small number of options, such as:

- Book Hyatt Miami Beach (Sponsored)
- Book Marriott Miami Downtown (Organic)
- Book Hilton Miami Beach (Organic)

In this model, brands that meet minimum qualification (say top-5) could bid to become a preferred booking option. If the user selects the sponsored option, the reservation is completed by the agent, and the advertiser pays only if the transaction is executed. This structure blends advertising with performance-based monetization, effectively turning the agent into a transactional decision layer, rather than just a discovery interface.

Revenue share arrangements (Commission based): AI platforms present unbiased results and takes a percentage of transactions completed by the agent. For example: If user asks “Mexican restaurant for dinner in the financial district on Wednesday”, the agent provides a list of options which does not include any sponsored listings, and then completes the reservation based on the user’s choice. On the back end, the agent could get paid a percentage of the final restaurant bill through a commercial agreement.

Is a commission model best for the consumer?

Consumers are a long way from trusting agents to make decisions for high-value purchases, and we expect referral models to remain the primary monetization model for Internet traffic for years to come. However, as users increasingly trust agent capabilities and merchant integrations mature, agentic subscriptions and commissions tied to completed outcomes may become a preferred model for Agentic traffic monetization. Outcome-based monetization could foster greater user trust by reducing perceived bias in recommendations.

- **Potential higher value capture per interaction:** Commission-based agentic monetization could drive higher value capture per interaction in high-value verticals such as travel, financial services, insurance, or large-ticket commerce. As agents increasingly complete transactions there will be certainty on ROIs, possibly increasing revenue take rates for AI platforms.
- **Greater user trust and reduced bias:** Advertising can introduce perceived or real conflicts of interest, where agents may prioritize sponsored results over the best options for users. Over time, users may prefer agents that optimize for outcomes rather than product placements.

Perplexity suspends advertising initiative

In late 2024, Perplexity started testing advertising within its AI results by showing sponsored placements beneath chatbot responses. However, in Feb’26, Perplexity stopped testing advertising on its platform as Company Executives indicated that even clearly labeled ads could make users question whether answers are unbiased, which could undermine the credibility of an AI search engine. Instead, Perplexity is prioritizing revenue through paid subscriptions and enterprise services, positioning itself as an ad-free alternative to traditional search engines.

Exhibit 5: Near-term, advertising likely a more feasible agentic monetization model

Pros and Cons of Advertising vs Commission based Agentic monetization

Factor	Advertising	Commissions
Implementation & adoption	Faster implementation and likely near-term dominant model given existing ad infrastructure	Slower adoption requiring merchant integrations, checkout, and payment infrastructure
Operational complexity	Lower complexity as it extends existing ad platforms and auction systems	Higher complexity due to transaction and settlement infrastructure requirements
Monetizable interactions	Monetizes full user journey (discovery, research, comparison, purchase intent)	Monetizes completed transactions only
Value capture per interaction	Generally lower value per interaction tied to ads	Potentially higher value per interaction, particularly in high-value verticals (travel, financial services, large-ticket commerce)
User trust dynamics	May introduce perceived bias if recommendations are influenced by paid placements	User trust will build over time based on successful outcomes

Source: BofA Global Research

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Performance advantages for Agentic advertising

We believe broader adoption of agentic systems could enhance advertising performance for Google and other major platforms by improving intent capture and traffic farther down the purchase funnel:

- **Better context and personalization:** Agentic systems operate with deeper contextual understanding, including prior queries, constraints, preferences, and budget parameters. This enables more precise matching between user intent and advertiser offerings. Improved ad targeting will drive stronger downstream conversion performance.
- **Higher intent density per query:** Traditional search distributes across multiple discrete queries, often spanning awareness, consideration, and transaction stages. Agentic search consolidates these steps into one structured workflow. When a user asks an agent to “plan and book a 3-night hotel in Chicago under \$400 per night,” the query embeds budget, dates, location, constraints, and purchase readiness simultaneously. This concentrates commercial intent per query, increasing the likelihood that sponsored placements align with actionable demand, thereby improving conversion rates and effective cost per action.
- **Decision-stage proximity:** Traditional search primarily monetizes discovery and mid-funnel engagement. In contrast, agentic search frequently advances users closer to execution, such as booking, ordering, or subscribing. When ads are delivered nearer to the transaction point, purchase intent is more explicit, increasing conversion probability and could potentially support higher bids from advertisers.
- **Improved measurement:** Agentic workflows can more directly capture downstream actions such as add-to-cart events, bookings, or form completions compared with traditional click-based navigation, enabling clearer end-to-end attribution and more precise performance optimization. Improved attribution transparency can strengthen advertiser confidence and will help drive incremental budget allocation.

Monetization risk with Agentic transactions

The structural compression of the user journey may reduce the breadth of monetizable touchpoints and concentrate economic value into a narrower set of highly competitive placements. Key monetization risks with broader adoption of agentic search capabilities include:



- **Reduced inventory volume:** If agentic interfaces become the primary gateway for commercial intent, the number of monetizable touchpoints may compress relative to traditional search. Rather than distributing ads across numerous exploratory queries, demand would concentrate around fewer, high-intent, decision-stage placements embedded within execution workflows. Even if conversion rates improve, fewer monetizable touchpoints could limit overall impression volume and constrain revenue growth.
- **Auction concentration risk:** High-intent, transaction-proximate inventory may disproportionately favor large advertisers with stronger unit economics and higher bidding capacity. In such a scenario, SMBs risk being priced out, reducing auction diversity and increasing reliance on a concentrated set of advertisers. Over time, this concentration could lower auction density, weaken competitive bidding dynamics, and pressure long-term ad pricing power.
- **Earnings volatility from revenue-share models:** If agentic monetization shifts from advertising toward commission or revenue-share structures, platforms assume greater economic exposure to transaction outcomes. Revenue becomes more sensitive to conversion rates, consumer demand cycles, and sector-specific performance rather than purely auction pricing dynamics. This could reduce revenue predictability and contribute to higher earnings volatility.
- **Margin impact:** Agentic systems require significantly more computational resources than AI search queries. This can materially increase compute costs and platforms may face near-term margin pressure as agent adoption scales, particularly if monetization models do not initially offset the higher infrastructure and inference costs.
- **User trust and transparency:** If sponsored recommendations are not clearly distinguished from organic results, or if commercial content becomes overly intrusive, users may perceive bias in agent responses. Potential erosion of trust in the agentic platform's objectivity could dampen engagement and slow broader user adoption.

Marketplaces will need to build own AI interfaces and agentic capabilities

Transaction-based companies in eCommerce (Amazon, Wayfair, eBay, etc.), travel (such as Bookings, Expedia) and gig economy sectors (DoorDash, Instacart) will likely need to build front end AI interfaces and back end agentic capabilities that can match Generative AI platforms. Developing integrated agentic capabilities, tailored to their platform, could help these companies maintain control over consumer journey and transaction flows, preserving key monetization channels such as commissions, advertising, and merchant fees. Key attributes that will help transaction-based companies maintain direct customer traffic include:

- **Differentiated inventory and supply:** Platforms with proprietary or differentiated inventory may be better positioned to maintain direct consumer engagement in an agentic driven discovery environment. Companies with broader selection, exclusive merchant relationships, or fragmented supply are harder for third-party agents to disintermediate. For example, DoorDash benefits from deep local restaurant coverage, Amazon from its vast third-party seller ecosystem and fulfillment network and Booking from relationships with independent hotels that are not widely distributed across channels. Consumers may still prefer to transact directly on these platforms, likely through these platforms' own proprietary AI agents.



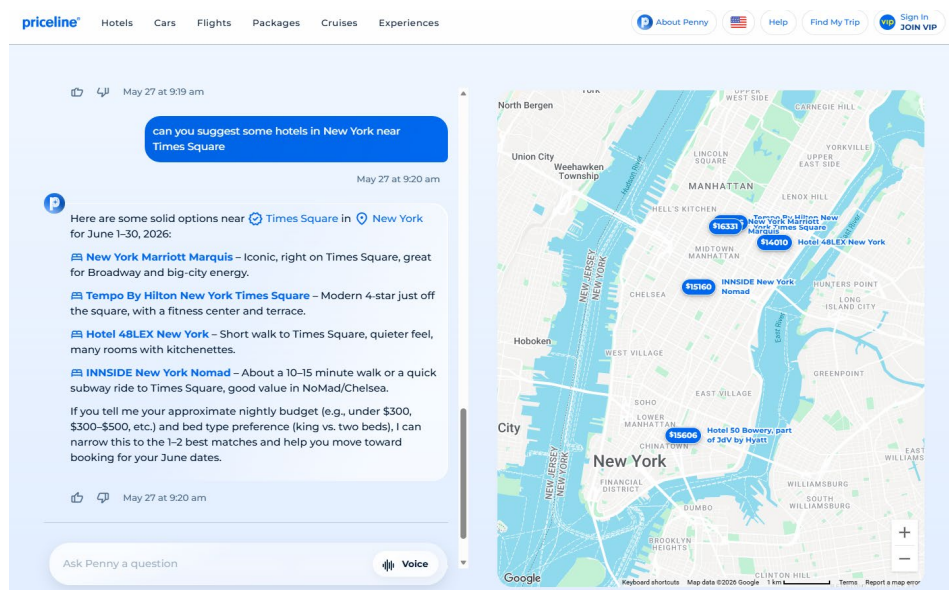
- **Structural cost advantages:** Scale can create structural pricing advantages that help marketplaces remain competitive even if AI agents intermediate discovery. In ecommerce and gig economy models, larger platforms benefit from logistics efficiencies, procurement leverage, and lower customer acquisition costs, enabling them to offer lower prices. In travel, platforms can use merchant-funded promotions, preferred partner rates, and loyalty incentives to maintain pricing advantages. These structural advantages may make it harder for third-party AI agents to disintermediate scaled platforms, as consumers are likely to continue gravitating toward platforms with pricing advantages.
- **Superior fulfillment and support:** Strong fulfillment and post-transaction service capabilities may also help limit disintermediation risk from third-party AI agents, as consumers are likely to continue favoring platforms that deliver more reliable and seamless experiences. Fast delivery times, easy returns, and strong post-transaction support remain important differentiators and reasons consumers prefer certain platforms. Companies such as Amazon and DoorDash benefit from integrated logistics networks that provide faster and more consistent fulfillment versus peers, reinforcing customer preference for these platforms over competing alternatives. In travel, companies like Booking and Airbnb have differentiated through superior customer support during booking disruptions, cancellations, or itinerary changes, helping create a more reliable and trusted experience.

Transaction sites evolving to compete - Penny AI assistant at Priceline

Booking is actively building its own agentic AI capabilities, with the goal of providing a comparable (or even better) AI driven planning and transaction capabilities for its users. We think the evolution of Penny at Priceline and broader GenAI integration across Booking.com is a prime example of how transactional sites will provide new tools to help maintain direct traffic. Management noted on the 1Q'26 call that AI tools are increasingly enabling conversational search, trip planning, and even booking within the interface, with early signs of improved conversion and engagement. We see potential for broader agentic rollouts in 2H26, helping Booking preserve customer ownership and replicate full end to end experiences within its own ecosystem.

Exhibit 6: Booking is actively building its own agentic AI capabilities

Snapshot of Penny AI assistant at Priceline



Source: Company Website

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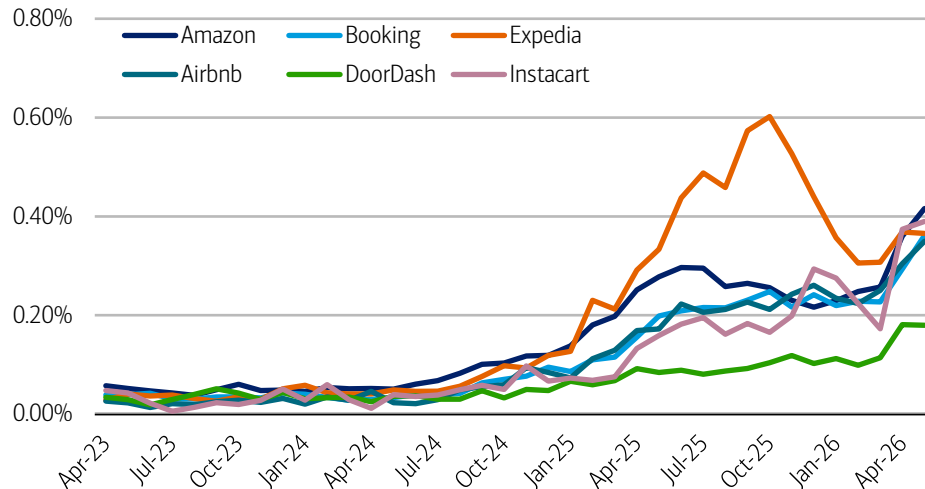


Limited traffic from Gen-AI engines to transactional sites

We note that traffic originating to transactional sites from Gen-AI engines, while growing rapidly, still remains very limited. According to Similarweb, Gen-AI sites contributed just 0.42% of Amazon's total web traffic in May '26, 0.36% for Booking, 0.37% for Expedia, 0.35% for Airbnb, 0.39% for Instacart and 0.18% for DoorDash.

Exhibit 7: Gen-AI sites contributed just 0.42% of Amazon's total web traffic in May '26

% of Total Traffic from Gen-AI sites



Source: Similarweb

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This data suggests, despite rapidly growing use of Gen-AI sites for research, consumers still go direct to vertical sites/apps for purchases. The key question is whether vertical sites begin to see pressure on direct traffic as agentic capabilities scale across platform sites. In our view, today's consumers are quite discerning, their purchases are good indication of Internet sites that provide the best services levels (price, selection, customer follow up), and good agents are likely to favor these same sites for purchases. However, loss of direct traffic to front end agents remains a long-term risk.

Google in the Agentic era

We think Google possesses all the core capabilities required to monetize AI-driven agentic transactions at scale and is well positioned to transition its search users to agentic users. Google's integrated advertising stack, deep advertiser demand, and extensive merchant and partner relationships that have contributed to the Universal Commerce Protocol development create a comprehensive structural advantage. These assets will enable Google to convert agent-driven actions into monetizable events by embedding sponsored recommendations & conversion-optimized outcomes directly at the point of user intent.

Google has key capabilities required to deploy and monetize agentic AI at scale:

- **Consumer reach and distribution:** The company controls a broad set of consumer-facing platforms, including Search, Maps, and Android, providing the scale and distribution needed to drive adoption of its agentic experiences.
- **Advertiser and partner ecosystem:** Google has scaled advertiser demand and deep relationships with merchants, retailers, airlines, hotels, and OTAs, giving its agents access to real-time pricing, availability, and booking data and supporting differentiated agentic capabilities.

- **Ad Monetization stack:** Google's integrated advertising platform allows sponsored recommendations and conversion-optimized actions to be embedded directly into agent-driven workflows, enabling monetization of agent-driven actions.
- **Agentic tools:** With established structured data sets such as product catalogs integrated within search, leading frontier models, and AI talent, Google is well positioned to develop and deploy agentic AI systems at scale.

On a higher level, Alphabet also benefits from its multi-app reach of logged-in users, generating rich first-party signals across Search, Maps, and Gmail that enable more personalized, context-aware itineraries that could drive higher transaction conversion.

Building the plumbing for the Agentic Platform

Google Universal Commerce Protocol

Google's Universal Commerce Protocol (UCP) is an open framework designed to help AI assistants and autonomous agents interact directly with merchants, retailers, and payment systems through a standardized commerce layer. Instead of retailers building separate integrations for every AI platform, UCP enables a single protocol that allows AI agents to search products, compare pricing, check inventory, manage carts, process payments, complete purchases across participating merchants. Strategically, UCP is intended to accelerate agentic commerce, where AI systems move beyond answering questions and begin executing transactions on behalf of users. If UCP becomes widely adopted, Google could become the foundational infrastructure layer powering AI-driven shopping and transaction ecosystems. Key merchants contributing to UCP include Shopify, Etsy, Wayfair, Target, and Walmart, alongside broader ecosystem partners such as Best Buy, The Home Depot, Macy's, and leading payment networks including Visa, Mastercard, Stripe, etc.

Exhibit 8: Google's UCP is an open framework designed to help autonomous agents interact directly with merchants, retailers, and payment systems through a standardized commerce layer

Key merchants contributing to UCP

Universal Commerce Protocol



Source: Google Website

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How does UCP work?

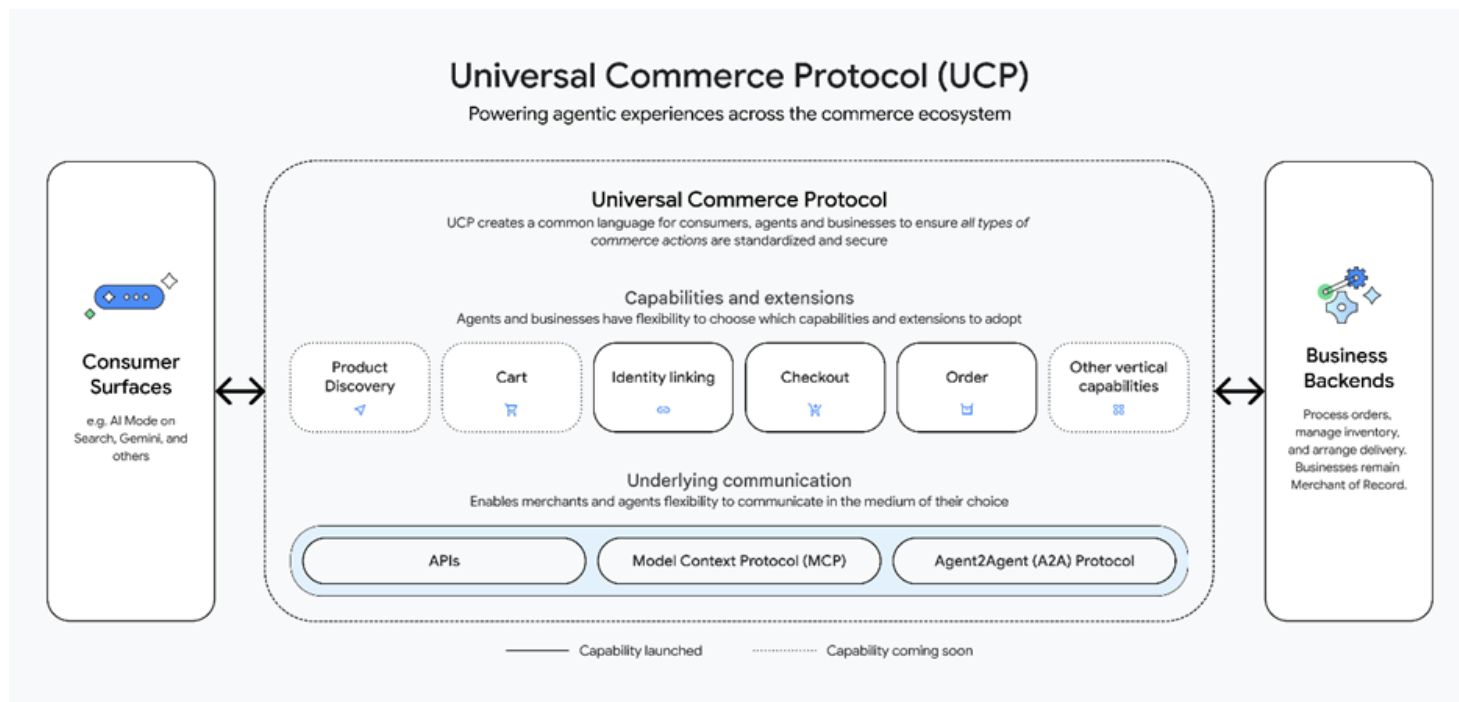
When a user submits a shopping request to an AI assistant, it interprets the user's intent and sends standardized commerce queries through the UCP framework to participating merchants and commerce platforms. Using UCP-compatible APIs, retailers return structured data including product availability, pricing, inventory, shipping, and



promotions, allowing the AI agent to compare options, recommend products, build carts, and initiate checkout through a unified commerce infrastructure layer. Once approved, the AI assistant leverages the UCP's standardized merchant and payment infrastructure to complete payments, confirm fulfillment, and manage post-purchase functions such as tracking, returns, and customer support.

Exhibit 9: Google UCP is an open framework designed to help AI agents interact directly with merchants, retailers, and payment systems through a standardized commerce layer

Google Universal Commerce Protocol



Source: Alphabet Website

BofA GLOBAL RESEARCH

Building the consumer interface

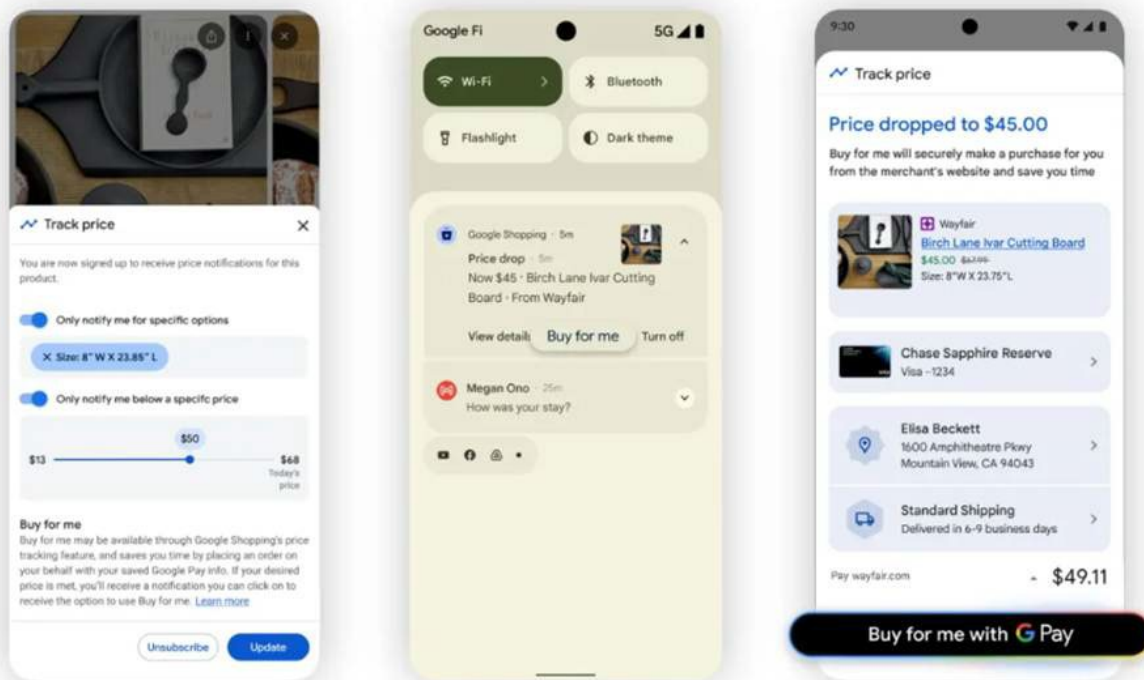
Google has introduced several commerce related agentic capabilities, including Business Agents, Native Checkout, Search Agents, Gemini Spark, and AI-powered calling. In AI Mode, the company is adding native checkout, interactive agentic ads and commerce features that allows users to conversationally describe what they are looking for, with results displaying shoppable product listings, comparison tables, real-time pricing across the web, and merchant purchase links instead of text-only responses and allowing purchases directly within the surface through Google Pay without leaving the page.

Google Agentic Checkout

Google has introduced an Agentic Checkout feature that builds on its existing price tracking functionality. Users can set a target price and preferred size or configuration, and when those conditions are met, Google sends a notification with a "Buy for me" option. Upon selection, the user confirms payment method, shipping address, and delivery preferences. Google's AI agent then navigates to the merchant's website, verifies pricing and availability, and completes the purchase on the user's behalf.

Exhibit 10: Google has rolled out Agentic checkout in Search, including in AI Mode, from eligible merchants in the US

Google Agentic Checkout



Source: 9to5google.com

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Google testing new ad formats in AI mode

Alphabet has introduced new ad formats in AI Mode that allows retailers and advertisers to feature products natively within AI-generated search results and drive commerce actions. Google is introducing a new Direct Offers feature within AI Mode that enables brands to present tailored discounts to prospective shoppers. Google's VP of Ads and Commerce, Vidhya Srinivasan, said that Alphabet is "not just bringing ads to AI experiences in Search, but reinventing what an ad is." She added that this initiative is "laying the foundation for a future where commercial experiences can be seamless and agentic." We think with Agentic purchasing capabilities, the conversion and measurement of ads could see significant improvements, and better position Google to control the full commerce funnel, spanning discovery, recommendation, and transaction execution.

Agentic AI Calling

Google has also launched an agentic calling feature within Search that enables the AI to contact local stores on a user's behalf to verify inventory availability, confirm pricing, and check for ongoing promotions. For select "near me" product categories, including electronics, toys, health, and beauty, users can select a "Let Google Call" option and specify product details, price range, and brand preferences. The AI then contacts nearby stores and summarizes availability, pricing, and promotional information via email or text. This agentic calling capability is now rolling out in the US, further extending Google's role from discovery into workflow execution.

Google launches branded AI agent

In mid-January, Google introduced Business Agent, a new branded AI experience that allows shoppers to chat directly with retailers within Search. Acting as a virtual sales associate, the agent answers product questions in a brand's voice, helping retailers engage consumers during online shopping and drive conversions. Business Agent began rolling out with partners including Lowe's, Michael's, Poshmark, and Reebok. Eligible US



retailers can activate and customize the agent via Merchant Center, with future enhancements enabling agent training on first-party data, access to customer insights.

AI Search – Revenue sensitivity analysis

We outline the key drivers underpinning our Search revenue estimates. Our assumptions focus on user scale and query growth, evolving click-through dynamics, and pricing trends, all which can be influenced by the shift toward AI-native search surfaces:

- We assume ~3.1bn daily users across the Google Search ecosystem in 2025 (Google.com, AI Overviews, AI Mode, Gemini, etc.), growing ~2% y/y in both 2026 and 2027,
- Avg. queries per daily user are estimated at ~1.73 in 2025, growing ~10% y/y in 2026 and ~6% in 2027. Our estimates are consistent with Google disclosure that the company was processing >5tn searches annually as of early March 2025. Strong search growth is driven by users searching more, with longer, more conversational, and multimodal queries,
- We estimate ~37.5% of queries result in a click in 2025, declining marginally to ~37% in 2026 and ~36.5% in 2027, reflecting a gradual reduction in click-through rates as AI-generated results increasingly satisfy user intent directly,
- We estimate paid ad clicks at 15.8% of total clicks, rising to 16.1% in 2026 and 16.3% in 2027, driven by a higher mix of commercial queries and improved ability of Search to identify commercial intent within informational searches and serve more relevant ads,
- We assume ~\$0.71 CPC (revenue per click) in 2025, growing ~4% y/y in 2026 and 2027 (US likely less than 50% of clicks, but likely over 2x CPCs). For reference, Google reported Search CPCs grew ~7% y/y in 2025 (per 10-K).

Exhibit 11: Google Search High Level Revenue Build

We estimate Google total query volume growing to ~6tr in 2026 (vs 5tr disclosed in early March'25)

	Base Case				
Google AI Search Revenue Analysis	2024A	2025A	2026E	2027E	2028E
Total Google AI Search users including AI Overviews, AI Mode & Gemini (bn)	3,000	3,060	3,121	3,184	3,247
Y/Y%		2%	2.0%	2.0%	2.0%
Average number of queries per day - Assumption	1.65	1.73	1.90	2.01	2.10
Y/Y%		5%	10%	6%	4%
Total Queries incl (bn)	4,950	5,301	5,922	6,409	6,804
Y/Y%		7%	12%	8%	6%
Click-through rate – (declining due to AI answers)	38.0%	37.5%	37.0%	36.5%	36.0%
Paid ad clicks as % of total clicks (Increased ad insertion in conversations)	15.8%	15.8%	16.1%	16.3%	16.6%
Estimated Ad clicks (bn)	297	315	353	381	407
Y/Y%		6%	12%	8%	7%
Estimated Revenue per '000 paid click (CPC)	\$0.67	\$0.71	\$0.74	\$0.77	\$0.80
Y/Y%		7.0%	4.0%	4.0%	4.0%
Estimated Search Revenue (BofA Ests., \$ mn)	\$198,084	\$224,532	\$261,638	\$294,098	\$326,187
Y/Y%	13%	13%	17%	12%	11%
Reported & Street Estimates (\$ mn)	\$198,084	\$224,532	\$258,863	\$289,397	\$320,868
Y/Y%	13%	13%	15%	12%	11%
BofA vs Street (Upside/Downside)			1%	2%	2%

Source: BofA Global Research Estimates

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We see several potential upside drivers for Google from the shift to AI driven interactions and the integration of agentic transaction flows:

- Growing adoption of AI Overviews, AI Mode, Gemini expands use cases and increases engagement, **driving incremental query volume**,
- Longer queries (Google noted AI Mode queries are ~3x longer than traditional, and follow-up queries have risen meaningfully in the US), increase query understanding and drives better monetization of previously un-monetized informational queries, leading to more **ad clicks per query**,
- Shift towards longer, more conversational and multimodal queries and enables the introduction of new ad types (sponsored suggestions, sponsored prompts, and direct offers) driving **more paid clicks**,
- Larger and more advanced AI models improve ad targeting and personalization, driving **higher conversion and ad prices**,
- New agentic purchasing capabilities converts traffic at a higher rate and reduces advertiser surplus in Google's auctions (advertisers only pay once cent more than the next highest bidder) **driving higher traffic monetization**.

While our high-level search model is built on many metrics, in the table below we highlight sensitivity analysis for projected 2027 Search revenue estimates assuming 20bps differences in Paid ad clicks as % of total clicks, and 2pts changes in Search pricing (Y/Y growth). If new AI features can drive a 20bps increase in ad click rates (as a percent of total clicks) and a 2pt lift in ad pricing, Google could generate over \$9bn in upside to 2027 search revenues.

Exhibit 12: 2027 Search Revenue Estimates (\$ mn) – Sensitivity Analysis

Estimated 2027 Search revenue based on changed in Paid ad clicks as % of total clicks and Search Pricing (Y/Y Growth)

			Paid ad clicks as % of total clicks						
			15.7%	15.9%	16.1%	16.3%	16.5%	16.7%	16.9%
Y/Y Growth in Search Pricing (CPC)	-2.0%		\$266,930	\$270,330	\$273,731	\$277,131	\$280,531	\$283,932	\$287,332
	0.0%		\$272,377	\$275,847	\$279,317	\$282,787	\$286,256	\$289,726	\$293,196
	2.0%		\$277,825	\$281,364	\$284,903	\$288,442	\$291,982	\$295,521	\$299,060
	4.0%		\$283,272	\$286,881	\$290,490	\$294,098	\$297,707	\$301,315	\$304,924
	6.0%		\$288,720	\$292,398	\$296,076	\$299,754	\$303,432	\$307,110	\$310,788
	8.0%		\$294,168	\$297,915	\$301,662	\$305,410	\$309,157	\$312,904	\$316,652
	10.0%		\$299,615	\$303,432	\$307,249	\$311,065	\$314,882	\$318,699	\$322,516
			Paid ad clicks as % of total clicks						
			15.7%	15.9%	16.1%	16.3%	16.5%	16.7%	16.9%
Y/Y Growth in Search Pricing (CPC)	-2.0%		-9%	-8%	-7%	-6%	-5%	-3%	-2%
	0.0%		-7%	-6%	-5%	-4%	-3%	-1%	0%
	2.0%		-6%	-4%	-3%	-2%	-1%	0%	2%
	4.0%		-4%	-2%	-1%	0%	1%	2%	4%
	6.0%		-2%	-1%	1%	2%	3%	4%	6%
	8.0%		0%	1%	3%	4%	5%	6%	8%
	10.0%		2%	3%	4%	6%	7%	8%	10%

Source: BofA Global Research Estimates

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Risks: Potential downside drivers from AI and agentic integration:

- Improving performance at AI-native platforms and transaction **sites reduces incremental Search sessions on Google**,
- Increasing share of queries answered directly within AI-generated responses **reduces click volumes**,
- Ad load could be structurally constrained within AI & agentic responses, **reducing paid clicks per query**,



- Agents could concentrate user attention on fewer outcomes, reducing auction density and **lowering ad yields**,
- Agentic transaction monetization **lags current ad monetization** as agentic competition is less established and commissions could be at below market rates to drive merchant adoption. Booking has indicated that the cost of paid agentic traffic can be lower than current search traffic costs.

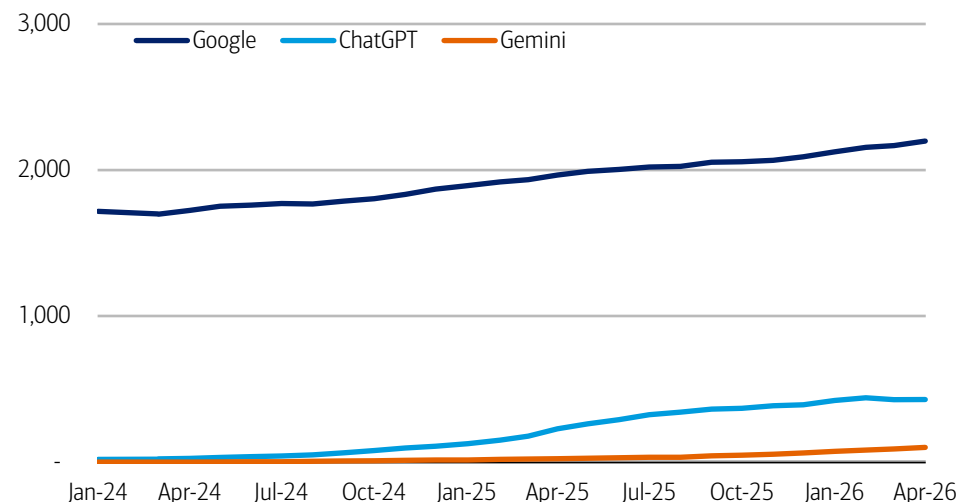
OpenAI & and consumer monetization

ChatGPT has built at large base of users

Since late 2023, ChatGPT has grown its weekly active users from roughly 100mn to close to 1bn. The growing user base has contributed to strong traffic growth, with ~5.5bn web visits in Apr'26 (6% of Google, vs 2% in Jan 2024 and 1% in Jan 2023). On the mobile side, per Sensor Tower, ChatGPT had approx. 429mn DAUs in Apr'26 (vs 228mn in Apr'25).

Exhibit 13: ChatGPT now has around 20% of Google app DAUs

Google, ChatGPT and Gemini Global Mobile DAUs (mn)



Source: Sensor Tower

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Broader user monetization on the way

While OpenAI has scaled rapidly on the consumer side, the vast majority of users are not paying for a subscription. As of early 2026, reports suggest ChatGPT had more than 50mn paying subscribers, representing ~5% of its estimated global user base. The large base of “free” users increases the strategic importance of developing incremental revenue streams, particularly advertising and agentic capabilities. As AI assistants become more integrated into discovery, recommendation, and transaction workflows, OpenAI could potentially monetize a much broader portion of its user base through sponsored placements, affiliate economics, transaction fees, and commercial integrations. Agentic capabilities may also improve monetization efficiency by increasing user engagement, purchase intent visibility, and the ability to facilitate end-to-end transactions directly within AI interfaces.

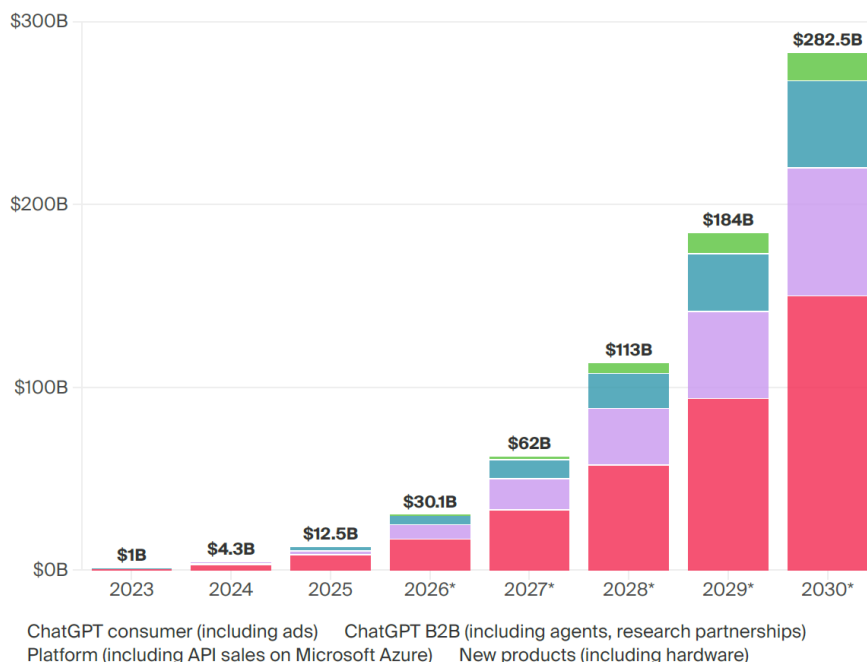
OpenAI targeting \$283bn revenues by 2030

Per reports from late Feb, OpenAI estimated \$30bn revenue in 2026 (vs \$13bn in 2025), growing to \$62bn in 2027 and \$283bn by 2030 (up from \$200bn in Sep'25). By 2030, OpenAI projects \$150bn in ChatGPT B2C revenue, including subscriptions & ads. Press reports indicated that OpenAI's ad business is expected to become a meaningful driver

of consumer revenue by 2030. With more than 900mn and growing WAUs, we think OpenAI is well positioned to capture engagement & commercial use cases.

Exhibit 14: OpenAI now projects \$283bn revenue by 2030, up from \$200bn in Sept. '25

OpenAI Revenue Projections (\$ bn, 1Q'26)



Source: The Information

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Studies suggest OpenAI users have transactional intent

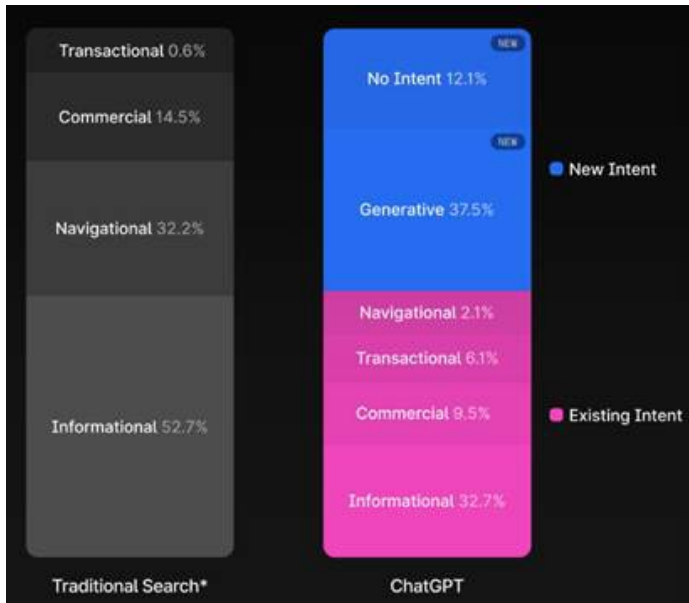
According to a study by Profound that analyzed more than 50mn ChatGPT prompts, ChatGPT interactions follow a different intent distribution compared with search engines. The largest category of prompts on ChatGPT is generative intent (37.5%), where users ask the model to create something directly such as writing content, generating code, drafting emails, or producing plans. Beyond generative requests, about 32.7% of ChatGPT prompts are informational, meaning users are asking for explanations, facts, or guidance. This is significantly lower than traditional search, where informational queries account for more than 50% of searches.

The study found that commercial intent (research and comparison) accounts for about 9.5% of prompts, which is lower than the 14.5% in traditional search. However, transactional intent (ready to purchase) represented roughly 6.1% of total prompts, much higher than in traditional search (around 0.6%). This data suggests: 1) Combined commercial and transaction intent could be similar to search at around 15%, and 2) AI chat interfaces may concentrate a higher share of purchase-ready intent compared with traditional search.



Exhibit 15: On ChatGPT, Commercial intent (research & comparison) accounts for ~9.5% of prompts (vs 14.5% in traditional search) and transactional intent (ready to purchase) represents ~6.1%

Share of intent on ChatGPT vs traditional search



Source: Profound

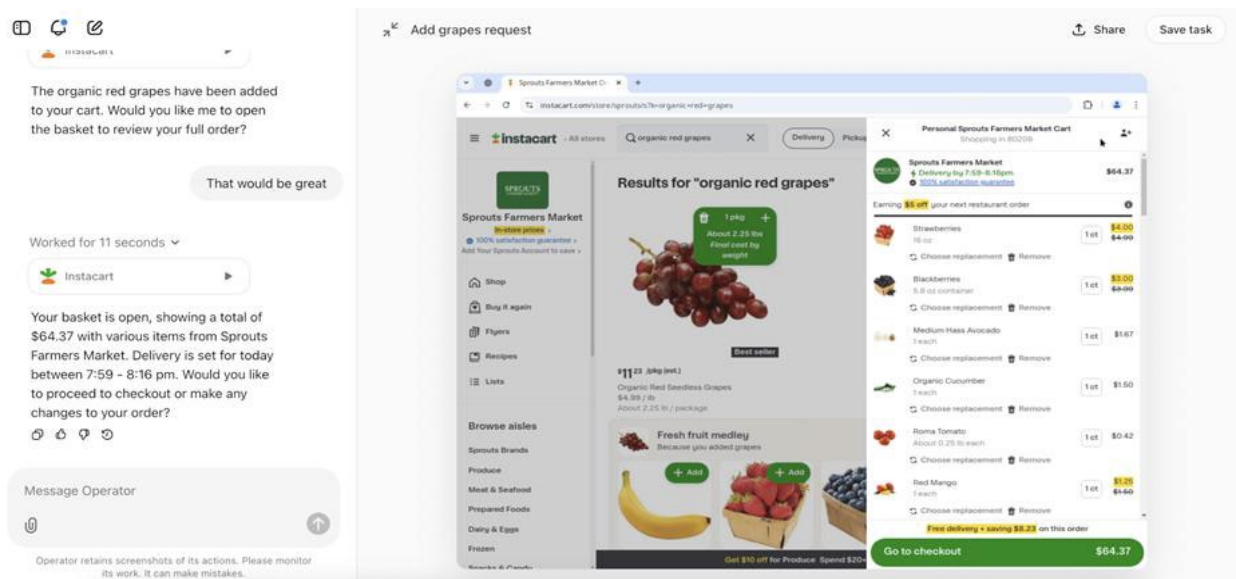
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OpenAI's Operator Agent

Over the last 12 months, OpenAI has accelerated its push into agentic capabilities, with the launch of Operator agent, which can navigate websites, complete forms, and execute multi-step online tasks on behalf of users. The company is also aggressively expanding its partner and developer ecosystem to integrate agent-driven workflows directly into consumer applications. Currently monetization remains primarily subscription-driven, with advanced agentic features bundled into higher-priced tiers, alongside enterprise API licensing.

Exhibit 16: OpenAI's Operator agent can do agentic shopping through integrations with platforms such as Instacart

OpenAI Operator agent shopping on Instacart



Source: Instacart Website

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OpenAI building Agentic Commerce Protocol

After scaling back Instant Checkout in March’26, OpenAI’s strategy appears to be shifting from fully embedded end-to-end checkout experiences inside ChatGPT toward a broader merchant-controlled and protocol-driven agentic commerce infrastructure. Similar to Google’s UCP, OpenAI is building its own agentic commerce infrastructure layer called Agentic Commerce Protocol (ACP), an open standard designed to connect merchants directly with ChatGPT users. ACP enables ChatGPT to ingest structured product catalog data, understand merchant inventory, pricing, and availability, and surface relevant products contextually within conversations. ACP serves as the connective layer between merchants and ChatGPT, similar to how Google’s UCP connects merchants into Gemini and AI Mode ecosystems. OpenAI key partners include Stripe, Shopify, Etsy, Instacart, DoorDash, Pine Labs, and Microsoft Copilot.

What is the difference between UCP and ACP?

At a high level, the goal for both Google’s UCP and OpenAI’s ACP is to drive agentic commerce transactions by connecting merchants, products, payments, and AI interfaces into a unified ecosystem. However, the two architectures differ slightly in technical focus and workflow design. Google’s UCP is built to extend agentic commerce capabilities across Google’s broader ecosystem including Search, Shopping, Gemini, Maps, Android, and Google Pay, while OpenAI’s ACP is built more natively around conversational AI agents operating inside ChatGPT. Another difference is payments architecture: ACP incorporates delegated payments through Shared Payment Tokens (SPTs), enabling AI agents to securely authorize purchases without exposing card credentials, whereas Google currently relies more heavily on existing Google Pay and merchant checkout integrations. Both companies are converging toward similar end goals, but Google’s approach is rooted in extending its large-scale commerce and discovery ecosystem into agentic workflows, while OpenAI’s approach appears to be centered on building conversational agents that act as the primary transaction interface.

Agentic Partnerships

We note that several companies in our sector have announced partnerships to enable agentic commerce including:

Exhibit 17: Google and OpenAI early agentic partners
Agentic partners list

Alphabet	OpenAI
Walmart	Walmart
Shopify	Shopify
Target	Target
Etsy	Etsy
Wayfair	Wayfair
PayPal	Instacart
Adyen	Stripe
Chewy	PayPal
Adyen	DoorDash
Kroger	Uber
Expedia	eBay
Marriott International	Salesforce
Booking.com	Booking.com

Source: Google Search
Note: List not exhaustive, indicative of major partnerships
BofA GLOBAL RESEARCH

Over 60 companies across payments and tech sectors also support Google’s AI agent payments protocols (including Adobe, American Express, Coinbase, Etsy, Intuit, UnionPay, Worldpay, etc.



OpenAI actively building out its ads platform, new industry competition

In May'26, OpenAI expanded access to its Ads Manager to all US advertisers and removed the prior \$50,000 minimum spend requirement. Press reports from April suggested that OpenAI's US ad pilot had already surpassed an estimated \$100mn annualized revenue run-rate shortly after launch. OpenAI said the broader rollout was aimed at making ChatGPT advertising accessible to businesses of all sizes, from startups to large global brands. The company also introduced cost-per-click (CPC) bidding alongside existing CPM pricing, allowing advertisers to pay based on user engagement rather than impressions alone. OpenAI noted that many ChatGPT interactions are "decision-oriented," positioning clicks as a stronger indicator of ad relevance and purchase intent.

OpenAI also expanded partnerships with major agency groups including Dentsu, Omnicom, Publicis, and WPP, along with ad-tech firms such as Adobe, Criteo, Kargo, Pacvue, and StackAdapt. Reports suggest OpenAI is developing additional advertising infrastructure, including third-party measurement tools, conversion tracking, and cost-per-action (CPA) bidding capabilities to make the platform more competitive. OpenAI's ad ramp could represent a competitive headwind for established Online ad platforms, including Google.



Exhibit 18: Companies mentioned

Companies mentioned in this report

BofA Ticker	Bloomberg ticker	Company name	Price	Rating
ABNB	ABNB US	Airbnb	US\$ 132.1	B-2-9
GOOGL	GOOGL US	Alphabet A	US\$ 388.83	B-1-7
GOOG	GOOG US	Alphabet C	US\$ 384.83	B-1-7
AMZN	AMZN US	Amazon.com	US\$ 271.85	B-1-9
BKNG	BKNG US	Booking Holdings	US\$ 168.37	B-1-7
DASH	DASH US	DoorDash	US\$ 157.58	C-1-9
EXPE	EXPE US	Expedia	US\$ 226.56	C-1-7
CART	CART US	Instacart	US\$ 40.44	C-2-9
META	META US	Meta Platforms	US\$ 635.255	B-1-7
PINS	PINS US	Pinterest	US\$ 20.03	C-2-9
RDDT	RDDT US	Reddit	US\$ 154.19	C-2-9
SNAP	SNAP US	Snap Inc	US\$ 5.88	C-2-9

Source: BofA Global Research

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Price objective basis & risk**Airbnb (ABNB)**

Our \$150 price objective is based on 15x 2027E EBITDA (representing 14x 2027 FCF). This multiple is at the higher end of our Marketplace comp group range reflects strong direct traffic, alternative accommodation category leadership, new growth opportunities, and significantly higher margins and FCF generation than marketplace peers.

Risks are: 1) multiple compression given high relative valuation, 2) potential for increased competition for incremental bookings driving up marketing spend, 3) decelerating room night growth from higher penetration, and 4) regulatory limitations on market growth.

Alphabet (GOOGL / GOOG)

Our price objective of \$430/\$430 is based on 28x 2027E core Google GAAP EPS plus cash per share. Alphabet has traded at an average multiple of 22x GAAP P/E over the last ten years, and we think our target multiple is reasonable vs history given expectations for double-digit revenue growth, Cloud margin expansion, and opportunity to capitalize on strong AI assets.

Downside risks are 1) loss of search traffic to AI tools from competitors, 2) LLM integration in search may take longer than expected or negatively impact search revenues, 3) revenue pressure from compliance with the EU Digital Markets Act (DMA), and 4) potential for increasing Capex and lower FCF-given AI investments.

Amazon.com (AMZN)

Our \$310 PO is based on our SOTP analysis that values AWS at 9x 2027E sales, 1P Retail at 1.0x, 3P Retail at 2.5x, and Advertising at 5.0x. Our 2027 sales multiples compare to 5.4x for SaaS comps, 1.3x for Retail comps, 2.3x for Marketplace comps, and 4.4x for Online Media comps. Our PO implies 3.5x blended 2027E P/Sales, and 31x 2027E EPS.

Downside risks to our estimates and price objective are increasing competition from offline and local retailers, share loss to Cloud competitors with advanced AI technology, elevated investment needs for AWS that could pressure margins and macro-economic pressures on consumer spend. The stock has been subject to heavy volatility in the past, and this volatility could increase due to economic uncertainty.

Booking Holdings Inc (BKNG)

Our price objective is \$235, based on 19x our 2027E EPS, which compares to Booking's 10-year historical range of 10-24x. We think a forward P/E multiple premium to OTA peers is appropriate given higher quality of earnings, market share growth and strong FCF generation.

Risks to our PO are: 1) a global economic downturn or Global conflicts that reduce travel activity, 2) competition for traffic from Google lowering growth or margins, 3) hotels favoring their own distribution channels, 4) FX volatility, and 5) increased direct traffic competition from Agentic booking channels. The stock has been subject to heavy volatility in the past based on travel disruptions and this volatility could increase given rapid rate of AI transformation in the industry.

DoorDash (DASH)

Our PO of \$272 is based on our SOTP valuation analysis for: 1) Profitable US Restaurant EBITDA, and 2) still unprofitable combined new verticals and International asset GOV. We apply a 14x 2027E EBITDA multiple to our \$5.1bn in 2027E Restaurant EBITDA. Our 2027 Restaurant EBITDA multiple is above peers given our higher long-term EBITDA growth expectations for DASH's core restaurant business. With a much more nascent stage for New Verticals + Int'l, we apply a 0.8x GOV multiple to our \$52bn in 2027E New Verticals GOV. Long-term, we believe margins for New Verticals, especially the Intl restaurant business, can be solidly profitable with benefit of a large ad business.

Downside risks are 1) slowing industry growth, which could put premium valuations at risk, 2) added platform, software and AV investments that pressure margins and earnings growth, 3) strong competitive from Uber, and entrenched incumbents in adjacent categories (including Amazon & Walmart), 4) Uncertainty on long term margins for non-US restaurant business.

Expedia (EXPE)

Our \$310 PO is based on a 50-50 blend of P/E and sum-of-the-parts valuations based on 2027 estimates. Our EV/EBITDA valuation is based on a 8x EBITDA, and our P/E valuation is based on 15x GAAP EPS. Our P/E multiple is within Expedia's historical ranges of forward EPS and a discount compared to Booking valuation given market share trends.

Downside risks to our PO are: 1) economic downturn or prolonged macro headwinds leading to fewer travel bookings, 2) competition for traffic lowering the company's growth or margin opportunity, 3) more aggressive direct booking initiatives by hotels, and 4) Google Agentic traffic disintermediation.

Instacart (CART)

Our PO of \$46 is based on an 8x 2027E EV/EBITDA multiple, slightly below with our eCommerce and Gig Economy peer group average of 9x due to slower growth. Despite competitive concerns, Instacart seems well entrenched with grocer partners (growing technology platform) and large basket (\$75+) customers.

Risks are: 1) Market share loss in the category given strong growth at Walmart and Amazon grocery, 2) loss of any grocery partners or changes in partner economics, 3) competition from Gig Economy leaders in the grocery category, 4) new investments needed in grocery technology to grow partnerships.

Meta Platforms Inc (META)

Our \$835 price objective is based on 24x 2027E GAAP EPS, plus net cash. On a total company basis, including Metaverse investments, our valuation is at a slight premium to S&P 500 given Meta's higher growth rate and AI opportunity. Historically, Meta has traded at an average premium of 3pts to S&P 500.

Downside risks include: 1) Significant dependence on digital advertising revenue, which remain highly sensitive to macroeconomic conditions, 2) Elevated spend on AI initiatives that could negatively impact margins, 3) Growing base of fixed assets could reduce cost flexibility in a macro downturn, 4) Slowing pace of share repurchases with significant AI investments, 5) Intensifying competition for user engagement and advertising budgets from AI-native platforms, and 6) Elevated regulatory overhang from new teen safety cases or unfavorable outcomes in ongoing litigation.

Pinterest (PINS)

Our \$28 price objective is based on 9x 2027E EV/EBITDA, below historical averages and at the low end of Pinterest's historical range. Our valuation reflects a slight discount to the SMID peer group multiples given lower relative growth and more limited medium-term margin expansion potential.

Risks to our PO are: 1) Continued revenue share loss to sector, 2) seemingly high ad loads, could limit 3rd party partner benefits, 3) incremental competition for both general usage and shopping activity from AI platforms, and 4) growing costs for AI infrastructure to drive results.

Reddit (RDDT)

Our \$190 PO is based on 18x 2027e EV/EBITDA multiple. Our multiple represents a modest premium to our comp group median given Reddit's higher revenue growth, upside potential with AI data licensing business, and significant long-term opportunity to grow ARPU.

Risks to our PO are high dependency on Google (40%-50% website traffic from Google search), slowing user growth, and macro driven slowdown in advertising sector growth.

Snap (SNAP)

Our \$8.00 price objective is based on 7x 2027E EV/EBITDA. Our valuation reflects a modest discount to Online media peer group median at 13x given lower relative growth, high revenue volatility and lower FCF including SBC expense.

Risks to our PO are 1) deceleration in user growth that would raise concerns on long-term revenue opportunity, 2) pressure on usage due to competing services, 3) valuation that has less earnings-based support than peers and 4) high share-based compensation (SBC) expense that could lower valuation multiples.

Analyst Certification

I, Justin Post, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

Special Disclosures

BofA Securities is currently acting as Financial Advisor to Publicis Group SA in connection with its proposed acquisition of LiveRamp Holdings Inc, which was announced on May 17, 2026. The proposed transaction is subject to approval by shareholders of LiveRamp Holdings Inc. This research report is not intended to provide voting advice, serve as an endorsement of the proposed transaction, or result in the procurement, withholding or revocation of a proxy.



US - Internet Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Alphabet	GOOGL	GOOGL US	Justin Post
	Alphabet	GOOG	GOOG US	Justin Post
	Amazon.com	AMZN	AMZN US	Justin Post
	AppLovin	APP	APP US	Omar Dessouky, CFA
	Booking Holdings Inc	BKNG	BKNG US	Justin Post
	Chewy Inc	CHWY	CHWY US	Michael McGovern
	Digital Turbine, Inc	APPS	APPS US	Omar Dessouky, CFA
	DoorDash	DASH	DASH US	Justin Post
	DoubleVerify Holdings, Inc.	DV	DV US	Omar Dessouky, CFA
	Ethos	LIFE	LIFE US	Michael McGovern
	Expedia	EXPE	EXPE US	Justin Post
	LegalZoom	LZ	LZ US	Michael McGovern
	Life360	LIF	LIF US	Nitin Bansal, CFA
	Magnite, Inc.	MGNI	MGNI US	Omar Dessouky, CFA
	Meta Platforms Inc	META	META US	Justin Post
	Navan, Inc.	NAVN	NAVN US	Nafeesa Gupta
	Peloton	PTON	PTON US	Nafeesa Gupta
	Playtika	PLTK	PLTK US	Omar Dessouky, CFA
	Take-Two Interactive	TTWO	TTWO US	Omar Dessouky, CFA
	Tripadvisor	TRIP	TRIP US	Nafeesa Gupta
	Uber	UBER	UBER US	Justin Post
	Wayfair	W	W US	Michael McGovern
	Wix.com	WIX	WIX US	Michael McGovern
NEUTRAL				
	Airbnb	ABNB	ABNB US	Justin Post
	Carvana	CVNA	CVNA US	Michael McGovern
	Coursera Inc.	COUR	COUR US	Nafeesa Gupta
	Duolingo	DUOL	DUOL US	Omar Dessouky, CFA
	eBay	EBAY	EBAY US	Michael McGovern
	Etsy, Inc.	ETSY	ETSY US	Michael McGovern
	Instacart	CART	CART US	Justin Post
	Match Group	MTCH	MTCH US	Omar Dessouky, CFA
	Pinterest	PINS	PINS US	Justin Post
	Reddit	RDDT	RDDT US	Justin Post
	Roblox Corp. Class A	RBLX	RBLX US	Omar Dessouky, CFA
	Snap	SNAP	SNAP US	Justin Post
	StubHub Holdings	STUB	STUB US	Justin Post
	Unity	U	U US	Omar Dessouky, CFA
	Vivid Seats	SEAT	SEAT US	Steven McDermott
	Zillow	Z	Z US	Omar Dessouky, CFA
	Zillow Group	ZG	ZG US	Omar Dessouky, CFA
UNDERPERFORM				
	ACV Auctions	ACVA	ACVA US	Michael McGovern
	Bumble	BMBL	BMBL US	Omar Dessouky, CFA
	Cardlytics, Inc	CDLX	CDLX US	Omar Dessouky, CFA
	Ibotta	IBTA	IBTA US	Nitin Bansal, CFA
	Lyft, Inc.	LYFT	LYFT US	Justin Post
	Yelp	YELP	YELP US	Nitin Bansal, CFA
RSTR				
	Global Business Travel Group, Inc.	GBTG	GBTG US	Nafeesa Gupta

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Equity Investment Rating Distribution: Media & Entertainment Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	28	45.90%	Buy	15	53.57%
Hold	19	31.15%	Hold	8	42.11%
Sell	14	22.95%	Sell	7	50.00%

Equity Investment Rating Distribution: Technology Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	234	58.50%	Buy	123	52.56%
Hold	90	22.50%	Hold	43	47.78%
Sell	76	19.00%	Sell	23	30.26%

Equity Investment Rating Distribution: Global Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1993	55.76%	Buy	1186	59.51%
Hold	821	22.97%	Hold	509	62.00%
Sell	760	21.26%	Sell	400	52.63%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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